

11

Winds of Change

Foreign fund houses may have been ripped off in the initial days, but the unscrupulous fund managers among them had a fabulous time personally, being wined, dined and fawned upon by brokers eager for business. Some of the big brokerages regularly hosted barge parties off the Gateway of India for their FII clients, and even organized striptease shows.

NSE's arrival on the scene as a competitor to the BSE dramatically changed the way business was transacted. There was no dearth of stock exchanges across the country at that point, but BSE was by far the biggest and most important of them all. It had the maximum number of companies listed on it, and was more liquid compared with its peers. CSE came within respectable distance of matching it in terms of liquidity, while the Delhi Stock Exchange was a distant third.

While many retail investors in far-flung towns preferred to transact on BSE, they invariably ended up getting poor prices because their orders would be routed through a chain of sub-brokers to the main broker in Mumbai. Each sub-broker in the chain would charge his commission, with the result that brokerage charges alone would amount to 3-4 per cent or even higher. Finally, whether the investor got a good deal or not depended on how efficient and scrupulous the main broker was. More often than not, the purchase price was marked up closer to the highest price of the day and the selling price closer to the lowest level of the day. Brokers could afford a 'take-it-or-leave-it' policy with their retail clients, fully aware they could not be assured of reliable prices or good service even if they were to take their business elsewhere.